CONNPLEX CINEMAS LIMITED

(*Formerly known as VCS Industries Limited*)

RELATED PARTY TRANSACTION POLICY

Approved By	Board of Directors
Effective Date	18/04/2025

I. TITLE:

This policy shall be called the 'Policy on materiality of related party transactions and dealing with related party transactions.

II. COMMENCEMENT:

The Policy shall come into force with effect from the date of listing of the equity shares of Connplex Cinemas Limited (*Formerly known as VCS Industries Limited*) ("Company") on Emerge Platform of National Stock Exchange of India Limited.

III. OBJECTIVE:

Related party transactions have been one of the major areas of focus for corporate governance reforms being initiated in India. The changes introduced in the corporate governance norms through Section 188 of the Companies Act, 2013, as amended and the rules framed thereunder ("Companies Act") and Regulation 23 of the Securities and Exchange Board of India (Listing Obligation and Disclosure Requirements) Regulations, 2015, as amended ("SEBI Listing Regulations") require the companies to have enhanced transparency and due process for approval of the related party transactions. Pursuant thereto, Section 188 of the Companies Act and Regulation 23 of the SEBI Listing Regulations require the Company to formulate a policy on materiality of related party transactions and also on dealing with related party transactions.

Accordingly, the Board of Directors ("Board") of the Company has adopted the following policy with regard to related party transactions. The Audit Committee of the Company will review this policy on an annual basis and propose any modifications to the Board for approval.

IV. DEFINITIONS:

- **"Arm's Length Transaction"** means a transaction between two related parties that is conducted as if they were unrelated, so that there is no conflict of interest.

- **"Audit Committee"** means the Committee constituted by the Board of Directors of the Company in accordance with Section 177 of the Companies Act, 2013 and under provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 and as amended from time to time.

- **"Board"** means the Board of Directors of the Company.

- **"Key Managerial Personnel"** or **"KMPs"** means Key Managerial Personnel as defined under the Act and includes:

  1. Managing Director, or Chief Executive Officer or Manager;
  2. The Whole Time Director;
  3. Company Secretary; and
  4. Chief Financial Officer.

- **"Associate Company"** means any other Company, in which the Company has a significant influence, but which is not a Subsidiary Company of the Company having such influence and includes a joint venture company

Explanation – For the purpose of this clause,
"Significant Influence" means control of at least twenty per cent of total voting power, or control of or participation in business decisions under an agreement.

- **"Control"** shall have the same meaning as defined in SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011.

- "**Material Related Party Transaction**" in terms of Listing Regulations means a transaction to be entered into with a Related Party, individually or taken together with previous transactions during a financial year:

  (i) In case of transactions involving payments made with respect to brand usage or royalty, if it exceeds 5% of the annual consolidated turnover of the Company as per its last audited financial statements;
  (ii) In case of any other transaction(s), if the amount exceeds Rs. 1,000 Crores or 10% of the annual consolidated turnover of the Company as per its last audited financial statements, whichever is lower.

  However, in case of specified securities listed on the SME Exchange, a transaction with a related party shall be considered material, if the transaction(s) to be entered into individually or taken together with previous transactions during a financial year, exceeds Rupees fifty crore (Rs. 50 crore) or ten per cent (10%) of the annual consolidated turnover of the listed entity as per the last audited financial statements of the listed entity, whichever is lower.

- **"Ordinary Course of Business"** with reference to a transaction with a related party means a transaction which is:

  - Carried out in the normal course of business envisaged in accordance with the Memorandum of Association of the Company as amended from time to time;
  - Historical practice with a pattern of frequency;
  - Common commercial practice; or
  - Meets any other parameters/criteria as decided by the Board/Audit Committee, from time to time.

- "**Policy"** means Related Party Transaction Policy, as amended from time to time.

- **"Relative"** means a relative as defined under Section 2(77) the Companies Act, 2013 and Companies (Specification of definitions details) Rules, 2014 and includes anyone who is related to another, if –

  i. They are members of a Hindu undivided family;
  ii. They are husband and wife; or
  iii. Father (including step-father)
  iv. Mother (including step-mother)
  v. Son (including step-son)
  vi. Son's wife
  vii. Daughter
  viii. Daughter's husband
  ix. Brother (including step-brother)
  x. Sister (including step-sister)

- **"Related Party"** in relation to the Company means a party related with the Company in any of the ways as laid down in section 2(76) of the Companies Act or under applicable accounting standards.

  The following shall also be treated as the Related Party –

  a) Any person or entities forming part of promoter or promoter group irrespective of their shareholding;

  b) any person / entity holding equity shares in the listed entity, as below, either directly or on a beneficial interest basis at any time during the immediately preceding financial year:

     i. To the extent of 20% or more; or
     ii. To the extent of 10% or more, [**w.e.f. April 1, 2023**]

- **"Related Party Transaction"** means transaction in the nature of contract involving transfer of resources, services or obligations between the Company and the Related Party, regardless of whether a price is charged.

  Explanation – A "transaction" with a Related Party shall be construed to include single or a group of transactions in a contract.

  The RPT shall include transactions between –

  i. the Company or any of its subsidiaries on one hand and a related party of the Company or any of its subsidiaries on the other hand the Company or any of its subsidiaries on one hand, and any other person or entity on the other hand, the purpose and effect of which is to benefit a related party of the Company or any of its subsidiaries, **[w.e.f. April 1, 2023].**

  Provided that the **following shall not be a related party transaction**:

  a. the issue of specified securities on a preferential basis, subject to compliance of the requirements under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018;

  b. the following corporate actions which are uniformly applicable/offered to all shareholders in proportion to their shareholding;

     i. payment of dividend;
     ii. subdivision or consolidation of securities;
     iii. issuance of securities by way of a rights issue or a bonus issue; and
     iv. buy-back of securities

  c. acceptance of fixed deposits by banks/Non-Banking Finance Companies at the terms uniformly applicable/offered to all shareholders/public, subject to disclosure of the same along with the disclosure of related party transactions every six months to the stock exchange(s), in the format as specified by the Board.

  d. acceptance of current account deposits and saving account deposits by banks in compliance with the directions issued by the Reserve Bank of India or any other central bank in the relevant jurisdiction from time to time:

Explanation: For the purpose of clauses (c) and (d) above, acceptance of deposits includes payment of interest thereon.

e. retail purchases from any listed entity or its subsidiary by its directors or its employees, without establishing a business relationship and at the terms which are uniformly applicable/offered to all employees and directors.

V. INTERPRETATION:

Any words used in this Policy but not defined herein shall have the same meaning prescribed to it in the Companies Act, the Securities and Exchange Board of India Act, 1992, as amended, or rules and regulations made thereunder including the SEBI Listing Regulations, the applicable accounting standards or any other relevant legislation/law applicable to the Company.

The reference to the masculine gender in the Policy shall be deemed to include a reference to feminine gender.

In case of any dispute or difference upon the meaning/interpretation of any word or provision in this policy, the same shall be referred to the Audit Committee and the decision of the Audit Committee shall be final. In interpreting such term/provision, the Audit Committee may seek the help of any of the officers of the Company or an external expert as it deems fit.

VI. PROCEDURE:

A. Disclosure by Directors:

Every director shall at the beginning of the financial year provide information by way of written notice to the Company regarding his concern or interest in the entity with specific concern to parties which may be considered as Related Party with respect to the Company and shall also provide the list of relatives which are regarded as Related Party as per this Policy.

Directors are also required to provide the information regarding their engagement with other entity during the financial year which may be regarded as related party according to this Policy.

B. Identification of Transaction with Related Parties:

Each Director and Key Managerial Personnel is responsible for providing notice to the Company or Audit Committee of any potential Related Party Transaction involving him or her or his or her relative, including any additional information about the transaction that the Board/Audit Committee may reasonably request. Audit Committee will determine whether a transaction does constitute a Related Party Transaction requiring compliance with this Policy.

Each Director and Key Managerial Personnel shall make an annual declaration to the Company and this declaration shall be placed before the Audit Committee and the Board of Directors at their first meeting held at the succeeding financial year.

Any change in the list of relatives shall be intimated by the Directors and KMPs by way of a fresh declaration to the Company.

VII. APPROVAL OF RELATED PARTY TRANSACTIONS:

A. Audit Committee:

1. Every Related Party Transaction and subsequent material modification shall be subject to the prior approval of the Audit Committee.

   Members of the Audit Committee, who are Independent Directors, shall only approve related party transactions.

2. The Audit Committee may grant omnibus approval for Related Party Transactions proposed to be entered into by the Company subject to compliance of the conditions contained in the Companies Act, 2013 and Listing Regulations as amended from time to time.

   The audit committee shall review the status of long-term, (more than a year) or recurring RPTs on an annual basis.

3. Prior approval of the audit committee shall be required for:

   a. All RPTs and subsequent Material Modifications;

   b. RPTs where Company's subsidiary is a party but Company is not a party, if the value of such transaction, whether entered into individually or taken together with previous transactions during a financial year exceeds 10% of the consolidated turnover of the Company, as per the last audited financial statements of the Company;

   c. with effect from April 1, 2023, a related party transaction to which the Company's subsidiary is a party but the Company is not a party, if the value of such transaction whether entered into individually or taken together with previous transactions during a financial year, exceeds ten per cent of the annual standalone turnover, as per the last audited financial statements of such subsidiary.

      Provided that prior approval of the audit committee of the Company shall not be required for RPTs where a listed subsidiary of the Company is a party but the Company is not a party, if regulation 23 and 15 (2) of Listing Regulations are applicable to such listed subsidiary.

      The Committee shall also satisfy itself the need for such omnibus approval and that such approval is in the interest of the Company.

      If any additional Related Party Transaction is to be entered by the Company post omnibus approval granted by the Audit Committee, then the Company shall present such transaction before the Audit Committee in its next meeting for its prior approval.

   d. remuneration and sitting fees paid by the listed entity or its subsidiary to its director, key managerial personnel or senior management, except who is part of promoter or promoter group, shall not require approval of the audit committee provided that the same is not material in terms of the provisions of this regulation.

4. The Audit Committee shall also review the statement of significant related party transactions submitted by management as per its terms of reference.

5. Any member of the Committee who has a potential interest in any Related Party Transaction shall abstain from discussion and voting on the approval of the Related Party Transaction.

6. To review a Related Party Transaction, the Committee shall be provided with the necessary information, to the extent relevant, with respect to actual or potential Related Party Transactions.

7. The Audit Committee shall recommend the Related Party Transactions for approval of Board of Directors / Shareholders as per terms of this policy.

B. <u>Board and Shareholders:</u>

- All Related Party Transactions which are not in the ordinary course of business or not at the arm's length price shall require prior approval of the Board of Directors of the Company. Where any director is interested in any Related Party Transaction, such director will abstain from discussion and voting on the subject matter of the resolution relating to such transaction.

  Further, all related party transactions which are not in the ordinary course of business or not at the arm's length price and are exceeding threshold limits prescribed under Section 188 of the Act reads with Companies (Meetings of Board and its Powers) Rules, 2014 shall also require prior approval of shareholders of the Company by way of Ordinary Resolution and all entities falling under the definition of Related Parties shall not vote to approve the relevant transaction, irrespective of whether the entity is a party to the particular transaction or not.

  Further, the information as prescribed under the Companies Act, 2013 and/or the Listing Regulations, from time to time shall be provided in the Notice to the shareholders for consideration of RPTs.

- All the Material Related Party Transactions and subsequent Material Modifications shall require prior approval of the Board and shareholders through Ordinary Resolution and no Related Party shall vote to approve such resolutions whether the entity is a related party to the particular transaction or not.

  Provided that prior approval of the shareholders of a Company shall not be required for Related Party Transactions where listed subsidiary is a party but the Company is not a party, if regulation 23 and regulation 15(2) of Listing Regulations are applicable to such listed subsidiary.

  Provided that the requirements specified under this sub-regulation shall not apply in respect of a resolution plan approved under section 31 of the Insolvency Code, subject to the event being disclosed to the recognized stock exchanges within one day of the resolution plan being approved. Provided that the Material Related Transactions entered into by the Company with its wholly owned subsidiary(ies) whose accounts are consolidated with the company and placed before the shareholders at the general meeting for approval shall not require approval of the shareholders.

Provided that the provisions pertaining to –

- Prior approval of the Audit Committee for all RPTs;
- Omnibus Approval for RPTs; and
- Prior Approval of shareholders for Material Related Party Transactions and subsequent Material Modifications

Shall not be applicable in following cases when the transaction entered into between:

i. two public sector companies,
ii. between a holding company and its wholly owned subsidiary whose accounts are consolidated with the Company and placed before the shareholders at the general meeting for approval.
iii. are entered into between two wholly owned subsidiaries of the Company, whose accounts are consolidated with the Company and placed before the shareholders at the general meeting for approval.
iv. transactions which are in the nature of payment of statutory dues, statutory fees or statutory charges entered into between an entity on one hand and the Central Government or any State Government or any combination thereof on the other hand.
v. transactions entered into between a public sector company on one hand and the Central Government or any State Government or any combination thereof on the other hand.

VIII. <u>PROCESS AND DISCLOSURES FOR DEALING WITH RELATED PARTY TRANSACTIONS</u>:

A. Process:

- A list of all the related parties in relation to the Company received from the Board shall be updated from time to time.
- Basis the above-mentioned list of related parties, every department shall, prior to entering in to any contract or arrangement with a related party, ascertain whether the proposed contract or arrangement satisfies the approval mechanism prescribed under this Policy.
- The contract/arrangement shall not be entered in to without the necessary approval from the Audit Committee/Board/shareholders, as the case may be. Compliance to this condition will strictly be adhered to by the concerned department proposing the underlying contract or arrangement.

B. Disclosures:

i. Every Related Party Transaction with proper justification shall be disclosed in the Directors Report.
ii. Material RPTs shall be provided in the notice to shareholders.
iii. Details of all material transactions with related parties shall be disclosed quarterly along with the compliance report on corporate governance.
iv. The Company shall submit enhanced disclosure of information related to RPTs to be provided to the stock exchanges every six months in the format specified by the SEBI with the following timelines:
   a. within 15 days from the date of publication of financials;

b. simultaneously with the financial results publication w.e.f. April 1, 2023.
c. and also publish the same on its website.

v. The Company shall disclose policy on dealing with Related Party Transactions on its website and also in the Annual Report.

IX. AMENDMENTS:

Any change in the Policy shall be approved by the Board of Directors of the Company. The Board of Directors shall have the right to withdraw and/or amend any part of this Policy or the entire Policy, at any time, as it deems fit, or from time to time, and the decision of the Board in this respect shall be final and binding. Any subsequent amendment/modification in the Act or the Listing Regulations and/or any other laws in this regard shall automatically apply to this Policy.